

Consideration – An Introduction

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Is it still relevant?

"The doctrine of consideration is too firmly fixed to be overthrown by a side-wind. Its ill-effects have been largely mitigated of late, but it still remains a cardinal necessity of the formation of a contract, though not of its modification or discharge" *Combe v Combe* [1951] 2 KB 215, 220 per Denning LJ.

Introduction

- In Canadian law, the principal test used to distinguish between enforceable and unenforceable promises is whether the promise is '*supported by valuable (good) consideration in the eyes of the law*'. A promise is only enforceable **as a contract** if the **promisee** can show that he **provided consideration** for it in this sense.
- Two 'exceptions'
 - Promise (contract) executed under seal
 - Doctrine of promissory estoppel
- ++But only a promise supported by consideration or made under seal has full contractual effect.
- A promise supported by consideration may nonetheless be unenforceable (e.g., because of duress, undue influence, unconscionability, misrepresentation, mistake, public policy, etc).

Introduction (cont'd)

- Some basic ideas about consideration:
 - Move from the language of "offer" and "acceptance" to the language of "promises"
 - Each party must provide consideration for the other's promise; however, the person arguing that there is a binding contract is the one who must show they provided consideration for the other's promise.
 - Consideration is the 'currency' ('price') used to 'purchase' (bind) a promise.
 - Consideration can be a promise (express or implied) **or** an act (e.g., a performance, forbearance, creation or extinguishing of a legal right).
 - That 'currency' – the consideration – must satisfy specific established **rules**, or it is not good consideration.

+++ A fact/disputes scenario will usually test/engage one or two of the rules, certainly not all.

Exercise 1

A. Paul and Peter are roommates. Paul says to Peter, "How much would you charge to wash my car?" Peter replies, "\$10". Paul then says, "We have a deal". Peter replies, "Great". How many promises are there? What is the consideration for each promise?

B. Alice and Jane are roommates. One day, Alice says to Jane, "Look, I'm sick and tired of looking at your dirty closet. I would normally charge \$20 to tidy it up, but I'll do yours for a discount". Jane replies, "I accept". How many promises are there? What is the consideration for each promise?

C. Susan has been tutoring her classmates since her undergraduate days, often without charge. In her view, teaching is the best way to learn. Lilian has been struggling with her Contracts course. She approaches Susan and says, "I will pay you \$25 an hour to tutor me in Contracts". Susan responds, "Bless your soul, my sister. I accept". How many promises are there? What is the consideration for each promise?

Exercise 1 (cont'd)

C. Chijioke puts up a notice stating, "\$100 for anyone who finds my lost dog, Milicent". Michael finds Milicent and returns her to Chijioke. How many promises are there? What is the consideration for each promise?

D. A mattress company advertises its products as follows: "We will give you your money back if you have tried our product and are not completely satisfied. All you need to do is return the product within 30 days of the date of delivery, and we will provide you with a full refund". How many promises are there? What is the consideration for each promise?

E. Ama sues Afia for breach of contract. Afia tells Ama, "If you withdraw your claim, I am prepared to pay you 80% of the damages you are seeking". Ama agrees to withdraw the action. How many promises are there? What is the consideration for each promise?

What is consideration?

- "A valuable consideration, in the sense of the law, may consist either in some right, interest, profit or benefit accruing to the one party, or some forbearance, detriment, loss, or responsibility, given, suffered, or undertaken by the other". *Currie v. Misa*
- "An act or forbearance of one party, or the promise thereof, is the price for which the promise is bought, and the promise thus given for value is enforceable". Sir Frederick Pollack
- "To constitute consideration, a performance or a return promise must be bargained for. A performance or return promise is bargained for if it is sought by the promisor in exchange for his promise and is given by the promisee in exchange for that promise. The performance may consist of an act other than a promise, or a forbearance, or the creation, modification, or destruction of a legal relation". Restatement Second Contracts s. 71

++ Motive is not the same thing as consideration. ("Motive is not the same thing with consideration. Consideration means **something**, which is **of value in the eye of the law** moving from the plaintiff". *Eleanor Thomas v Benjamin Thomas* (1842) 2 QB 851, per Patteson J)

Core Principles

To constitute consideration in law, a performance or a return promise must be bargained for.

- To constitute consideration, there must be, at **a minimum**, a bargained-for exchange.
- A bargain is an agreement to exchange promises or to exchange a promise for performance.
- Thus, consideration requires **reciprocity or mutuality** (i.e., mutual inducement, mutual promises). Consideration requires that a promise must appear to induce the return promise and vice versa. In a sense, there must be a "***quid pro quo***" (i.e., "what for what" or "something for something"). This signifies a bargained-for exchange.

Exercise 2

For each of the following hypotheticals, determine whether there is a **bargained-for exchange**. Explain your answer.

A. Tina promises to sell her laptop to Chris in exchange for Chris's promise to pay Tina \$400. Chris takes the laptop but never pays Tina the \$400.

B. Pippen's dog goes missing. She posts signs throughout the neighbourhood stating: "\$500 reward for anyone who finds and returns my dog, Goober, a beagle-labrador mix, to me". After reading the sign, Alice finds Goober and returns him to Pippen.

C. Angelica's husband dies. Ralph, a close friend of Angelica's husband, promises Angelica that, if she moves to Toronto, he will provide her with a place to live. As a result of Ralph's promise, Angelica moves to Toronto. Ralph does not care whether Angelica moves to Toronto; he made the promise out of sympathy for her situation.

Exercise 2 (cont'd)

D. Jody really likes the necklace Kim is wearing and offers Kim \$100 for it. Kim responds, "I accept." Kim is ecstatic about the deal because she bought the necklace at Walmart for \$10.98.

E. Adam wants to make a binding promise to give \$100,000 to his son, Peter. His lawyer advises him that a gratuitous promise is generally not legally binding. Adam gives the matter some thought. At home, he writes and signs a document falsely stating that Peter had sold him a car for \$100,000 and that Adam had promised to pay Peter that amount.

F. Raymond executes a document stating: "In consideration of my interest in higher education, and intending to be legally bound, I irrevocably pledge and promise to transfer to York University the sum of \$25,000,000."

G. Horace is seriously ill. Beatrice says to him, "I'm sorry that you are so sick. Because of your situation, I promise to walk your dog every day until you get better." Horace remains ill.

Wood v. Lucy, Lady Duff-Gordon 234-235

Lucy was a celebrity who used her name and reputation to endorse products. She employed Wood to help her make money through her endorsement of products under an agreement signed by both parties. She gave him some exclusive rights, including the exclusive right to use her endorsement. In breach of this agreement, she placed endorsements on certain products without Wood's knowledge and consent. Wood sued her for damages for breach of contract.

- What was Lucy's defence to the claim?
- What issue was the court invited to resolve, and how did the court resolve that issue?
- What were the court's findings and decision?

+++ This case decides that a promise which serves as consideration may be fairly implied from the circumstances of a transaction. "[An express] promise may be lacking, and yet the whole writing may be 'instinct with an obligation,' imperfectly expressed.

Tobias v. Dick and T. Eaton Co. 233-234

- What were the facts of this case?
- What was the primary issue the court had to decide, and how did the court resolve that issue?
- Do you agree with the court's decision that the indirect promise by Dick "to sell" to Tobias was not supported by any consideration moving from Tobias, and so was not binding upon Dick, and hence there was no contract?
- Can you reconcile this case with *Wood v Lucy*? (see [*Cor-Ex Vacuum Services Inc v Associated Aggregates Inc*](#), 2021 ABQB 995 (CanLII), paras 42-57)

The Great Northern Railway Company v. Witham 230-231

In this case, the plaintiffs advertised for tenders for the supply of "several [named] articles" for a period of twelve months. The defendant sent in a tender to supply them for twelve months, at certain fixed prices, "*in such quantities as the company's store-keeper might order from time to time*". The plaintiffs accepted his tender. Thereafter, several orders were made and delivered. Later, the defendant refused to supply any more, arguing the contract was void for "want of mutuality". It was held that there was a sufficient consideration for the defendant's promise to supply the goods, although there was no binding contract on the part of the company to order any.

- Explain why you agree or disagree with the outcome of this case. What did the company offer in return for the defendant's promise to sell?
- Is a promise, "I might order goods from you from time to time," really a promise?

Exercise 3

Suraiya purchased a ticket from Air Canada for a flight from Saskatoon to Toronto. On arriving at Toronto Pearson International Airport on September 10, 2026, she was informed by an Air Canada representative that she was the airline's 100 millionth passenger. The representative congratulated Suraiya and told her that, as part of the celebration, Air Canada was giving her and a person of her choice unlimited air travel for life.

Suraiya was presented with a replica airline ticket bearing the following inscription: "Passenger ticket and baggage check for our 100 millionth passenger. Valid for free air travel for life."

The representative explained that Suraiya would be able to contact Air Canada whenever she wished to arrange travel and that the benefit would continue for her lifetime. No written terms governing the arrangement were provided.

Shortly afterward, with Suraiya's consent, Air Canada issued a public announcement identifying her as its 100 millionth passenger. Her photograph and name appeared on Air Canada's website and in several social-media posts. Suraiya participated in a short media event at the airport and answered questions from reporters about her experience. Air Canada subsequently used photographs of Suraiya in promotional material celebrating the airline's 100 millionth passenger milestone.

On September 21, 2026, Suraiya contacted Air Canada to book a flight from Saskatoon to London. Air Canada refused to issue the ticket without charge. When Suraiya referred to the promise of lifetime travel, an Air Canada representative told her that the company had never entered into a written contract with her. The representative said that, as a gesture of goodwill, Air Canada would provide her with one economy flight within Canada each year.

Suraiya claims that Air Canada's promise was supported by consideration. Air Canada denies it. Discuss whether there was a bargained-for exchange sufficient to support Air Canada's promise of lifetime travel.

Core Principles (cont'd)

Consideration must be "sufficient" (i.e., something capable of being consideration in the eyes of the law); it need not be adequate.

- The bargained-for exchange (i.e., consideration) need not be a gain, advantage, or benefit to the promisor or a loss, disadvantage, or detriment to the promisee – it is enough that the consideration is of value in the eyes of the law.
- The law does not examine the adequacy of consideration given for a promise unless fraud, duress, or unconscionability is involved in the exchange. As long as there is a **real** exchange, the parties are free to make enforceable promises in exchange for whatever they desire, regardless of its economic value. +++ "If a person chooses to make an extravagant promise for an inadequate consideration, it is his own affair". *Allegheny College v. National Chautauqua County Bank*, 246 N.Y. 369, 377 (1927) per Judge Benjamin Cardozo
- No additional requirement of equivalence in the values exchanged.
- The consideration to support a contract must be real (i.e. not a sham or illusory). It must be capable of estimation in terms of value.

White (Executor) v. William Bluett 226

This was an action on a promissory note that the defendant gave to his father. The defendant pleaded that he had just grounds to complain of the latter's distribution of property. It had been agreed between them that the defendant should cease to make any such complaint, and that in consideration thereof, his father would discharge him from liability on the note and not sue to get it paid. The court held that the son's defence was bad because he was not able to show any consideration for the father's promise. The son had no right to complain as the father could make whatever distribution of his property he liked. The son's abstention from doing what he had no right to do could be no consideration.

- In this case, the father's promise to release his son from liability on the promissory note in return for the son's agreement to cease complaining about his father's treatment of him was motivated by a desire for the son to stop complaining. However, neither the son's promise nor his actual cessation from complaining was held to be capable of being consideration in law. Can this position be defended?
- Assume the son had a statutory right to a share of his father's estate. Would giving up that right be good consideration for the father's promise?

Hamer v. Sidway 227

An uncle (William E. Story) promised his nephew (William E. Story, 2d) that if the nephew refrains from drinking liquor, using tobacco, swearing, and playing cards or billiards for money until he turns 21 years, the uncle will pay the nephew \$5,000. The nephew agreed. He refrained from drinking liquor and using tobacco until he turned 21. He sold the debt to a third person, who then sought payment of the money.

- What was Sidway's argument against the enforcement of the uncle's promise? What was the issue the court had to resolve?
- The court held in this case that consideration need not be a benefit or detriment. It is **enough** that something is promised, done, forborne or suffered by the party to whom the promise is made as consideration for the promise made to him.
- What are your thoughts on the court's rejection in this case of the benefit/detriment test and its preference for the mutual inducement test?

Exercise 4

In January 2024, the Museum of Modern Art commissioned Jens Haaning, a contemporary artist, to create and deliver an original artwork that would "encapsulate the year 2020." The Museum agreed to pay Jens \$50,000 for the completed work. During their discussions, the Museum's curator explained that the artwork should respond in some meaningful way to the events and experiences of 2020. No particular artistic medium, subject matter, size, or style was specified.

Jens accepted the commission and agreed to deliver the completed artwork to the Museum by September 2026. The parties did not discuss what would happen if Jens delivered an artwork substantially different from what the Museum expected, nor did the agreement expressly state that the Museum could reject the work.

In September, Jens delivered two large blank canvases to the Museum. He explained that they constituted a new work entitled *Take the Money and Run*. According to Jens, the work was intended as a commentary on the economic conditions faced by workers during the COVID-19 pandemic, particularly the contrast between the low wages received by many essential workers and the importance of their services. The Museum's curator was surprised and told Jens that the Museum had expected an artwork rather than two blank canvases. Jens responded that the blank canvases were themselves the artwork and that the concept was central to the work's meaning. He also pointed out that the Museum had commissioned him to encapsulate the year 2020 and that the pandemic and its economic consequences were reflected in the work.

The Museum refused to pay the \$50,000 and is considering bringing an action against Jens for breach of contract. Jens argues that he fully performed his obligation by delivering the commissioned artwork and that the Museum cannot reject it merely because it dislikes the artistic result.

Discuss whether Jens provided good consideration to support the Museum's promise to pay \$50,000.

Exercise 5

A. Adam received an envelope in the mail from a magazine publisher. The front of the envelope contained a window through which Adam read the following: "We'll give you this versatile new calculator watch free just for opening this envelope before September 15". Beneath the offer was a picture of the calculator watch itself. Adam tore open the envelope only to discover that, according to the publisher, Adam also had to subscribe to the magazine. Adam wants to sue the magazine for breach of contract. Advise him on whether he has provided sufficient (good) consideration for the Magazine's promise.

B. In August, Nestle Co Ltd developed a new line of chocolates it markets under the name Pumpkin Spice Chocolate. To boost sales, it launched a promotion that offered a Pumpkin Spice Chocolate Embossed T-shirt in exchange for 10 Pumpkin Spice Chocolate wrappers. Paul collected 100 Pumpkin Spice Chocolate wrappers from various children's playgrounds. He mailed it to Nestle. He recently received a letter from Nestle stating that the promotion is for only "purchasers who can provide receipt of purchase. In any case, the wrappers are of no value to us". Paul wants to sue Nestlé for breach of contract. Discuss whether Paul has provided sufficient (good) consideration for Nestle's promise.

Core Principles (cont'd)

Consideration must move from the promisee, but it need not move to the promisor.

- The promisee must show that they (and absolutely no one else) provided the consideration for the promise.
- One effect of this rule: a person can enforce a promise only if he himself provided consideration for it. Unless a person provides the consideration, he cannot enforce a promise [*except he can rely on one of the exceptions to the doctrine of privity: more on privity later*]

Eleanor Thomas v. Benjamin Thomas 228-229

- There was an agreement between the plaintiff, who was the widow, and the defendant, who was the executor of the will of her husband, one John Thomas. The agreement recited that shortly before his death, John had verbally expressed his desire that the plaintiff, in addition to his other provisions for her, should have the house during her life. The agreement also recited that the defendant (and a deceased executor) were desirous that such intention should be carried into effect, and then stated, "*in consideration of such desire and of the premises,*" the executors would convey the house to plaintiff for her life". It was then added "provided nevertheless, and it is hereby further agreed and declared" that plaintiff should during her possession pay to the executors £1 yearly towards the ground rent, and should keep the house in repair.
- What did the court decide on the issue of whether "in consideration of such desire and of the premises" is sufficient (good) consideration?

Exercise 6

Sarah is very close to her 10-year-old nephew, Tom, who lives with his single mother, Rachel. As Tom's birthday approaches, Sarah decides that she wants to surprise him with a new bicycle. Because she is busy with work and does not want to arrange the purchase and delivery herself, she approaches her long-time friend Liam, who owns a small bicycle shop in town.

Sarah tells Liam: "Tom's birthday is next week. If you give him a new bike—something nice but not too fancy—and deliver it to his house, I'll pay you \$300".

Liam replies, "You have a deal". They do not sign a written agreement, and Sarah does not pay Liam anything in advance.

The following day, Liam selects a new bicycle from his inventory that he considers suitable for Tom. The bicycle has a retail value of \$400 and cost Liam \$250 wholesale. Liam delivers it to Tom's home the day before Tom's birthday. Tom and Rachel are delighted. Neither knows that Sarah arranged for the bicycle or that Liam expects to be paid by Sarah.

The following week, Liam contacts Sarah and asks her to pay the promised \$300. Sarah responds: "I've changed my mind. I didn't sign anything, and the bike wasn't for me anyway. If you want to be paid, you should talk to Rachel".

Liam points out that he delivered exactly the bicycle Sarah requested and that Sarah had expressly promised to pay him \$300. Sarah responds that she never received anything from Liam and that she had only intended to make a gift to Tom. She also argues that Tom's receipt of the bicycle cannot amount to consideration for her promise because neither Tom nor Rachel agreed to pay Liam anything.

Liam brings a claim against Sarah for \$300. Discuss whether Liam is entitled to enforce Sarah's promise to pay him \$300.

Promise as consideration

- Where a promise is given in exchange for another promise, both are supported by consideration; each promise supplies the consideration for the promise of the other.
- The promise may be express or implied.
- The promise must not be **illusory** (Test: consider whether the promise restricts the promisor's future right of action, or gives the promisor unfettered discretion to perform or not to perform the promise, or does not restrict the promisor's autonomy to act)

Exercise 7

For each of these transactions, identify what is really promised (if any) by the promisor in the underlined text. Which of the following is "illusory"?

- A.** Alice promises to sell her car to Susan. Susan promises to buy the car whenever she gets enough money.
- B.** Peter promises to teach Paul the Law of Contracts for \$25 per hour. Paul promises he will let Peter know when his service is needed, and he will attend the tutorial whenever he is interested.
- C.** Agyekum promises to sell a piece of land to Ofori. Ofori promises to buy the land if he obtains leases satisfactory to him.
- D.** John is an employee at PapaJon. He is not satisfied with his pay. He seeks a pay raise from his employer. His employer tells him that he will receive an additional \$2 per hour if his "work is good".

Exercise 7 (cont'd)

E. Alice offers to pay Susan \$25 per hour to babysit her daughter on weekends. Susan promises to babysit Alice's daughter when she feels like it.

F. Adam writes to Barnes, "I am thinking about selling my sports car, which you have admired for several years. I will sell it to you for \$20,000 unless I change my mind". Barnes replies, "We have a deal for the car at \$20,000".

G. Littletent promises to buy 100 bags of wheat at \$100 per bag from Whiteclaw for immediate shipment, provided that he, Littletent, reserves the right to cancel the order at any time before shipment. Whiteclaw, who has over 100 bags of wheat in stock, promises to sell them to Littletent. Is Littletent's promise to buy good consideration for Whiteclaw's promise to sell?

H. Peter writes to Paul "If you agree to pay me an extra \$50, I will not demand you pay me all the money you owe me until I, using my sole discretion, decide to demand it". Paul responds, "I agree".